EG South Asia Biweekly: Modi government likely to reach compromise with student protesters

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Modi government likely to reach compromise with student protesters

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* India: Government likely to reach compromise with student-led protesters
* India: Higher ethanol fuel mandate postponed
* India: Incentive schemes will boost semiconductor and smartphone manufacturing
* India: Ban on forced labor will help India avoid Section 301 tariffs
* Sri Lanka: Dissanayake remains popular despite energy crisis

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India

Short-term trajectory:

Long-term trajectory:

Government likely to reach compromise with student-led protesters. On 20 July, tens of thousands of Gen-Z demonstrators took to the streets in Delhi to protest irregularities in government examinations and demand the resignation of Education Minister Dharmendra Pradhan. The protests are continuing, with sporadic clashes between demonstrators and the police.

* The Cockroach Janata Party (CJP) launched the protests on 8 June, and they initially drew only limited crowds. However, the authorities' forced removal of Sonam Wangchuk, a prominent educator and activist who was on a hunger strike in support of the students, from the protest site on 18 July triggered a surge in support. The police crackdown on demonstrators on 20 July has further bolstered the movement.
* The protests have expanded organically and remain largely leaderless. The CJP, which began as an online satirical movement just two months ago, has limited influence (see: Online political movement will have limited electoral impact , 29 May 2026). The protests reflect disillusionment among India's urban youth over high unemployment, limited opportunities, and corruption. Many young voters see the protests as a demand for government accountability.

* The government was unprepared for the scale of the demonstrations and has opened a dialogue with the CJP. Although Prime Minister Narendra Modi does not want to appear to yield to protesters' demands, the government will probably reach a compromise with them. Modi has already promised to establish fast-track courts to punish those involved in exam paper leaks. Key watchpoints include Pradhan's resignation, the spread of demonstrations to urban centers beyond Delhi, and support from other social groups for the student-led protests.
* Modi will likely emerge from the protests with little political damage. However, his ruling Bharatiya Janata Party (BJP) may suffer setbacks in state elections in early 2027. Earlier this year, voters ousted incumbent governments in Kerala, Tamil Nadu, and West Bengal, with high youth unemployment playing a key role in all three states (see: BJP's state election victories carry anti-incumbent warning for 2027 , 6 May 2026). Opposition parties were quick to lend their support to the demonstrators and have tried to press their demands in parliament.

Higher ethanol fuel mandate postponed. The Modi government retreated from its plan to fast-track its E25 fuel mandate, which would blend 25% ethanol with 75% petroleum. A new mandate is unlikely in the short to medium term.

* The government remains committed to expanding ethanol use because it reduces India's dependence on oil imports and lowers carbon emissions. Under Modi, ethanol blending in petroleum has increased from about 1.5% in 2014 to 20% by late 2025. The government introduced the E20 standard five years ahead of schedule.
* However, the government withdrew the proposed E25 mandate after pushback from automakers and the public. Carmakers strongly opposed mandatory retrofitting of older vehicles to meet the E25 standard, while car owners worried about corrosion and vehicle performance.
* The government is now unlikely to pursue a higher ethanol mandate for cars for at least another year. Even if it does, the rule will probably apply only to new vehicles. Officials are also expected to take a more systematic approach, including securing support from the auto industry and adopting policy measures to ease the transition to higher ethanol blending. However, public skepticism about ethanol's effects on vehicles remains a major challenge (see: India's higher ethanol flex fuel mandate will be delayed for at least a year , 22 July 2026).

Incentive schemes will boost semiconductor and smartphone manufacturing. On 15 July, Modi's cabinet approved two major manufacturing initiatives, allocating $13.1 billion for the second phase of the Indian Semiconductor Mission (ISM) and $6.5 billion for a revamped Mobile Phone Manufacturing Scheme (MPMS). Both initiatives seek to help India move up the value chain. They will come into effect in the coming weeks.

* The first phase of ISM focused on chip assembly and fabrication and led to the approval of 12 semiconductor facilities in India. Three assembly and testing plants are already operational, and Tata Electronics' fabrication plant is expected to begin production in mid-2028. ISM's second phase will run for six years and focus on building the broader ecosystem for semiconductor manufacturing. It aims to attract semiconductor design firms, along with companies that produce the materials, equipment, and specialty chemicals used in chip production.
* The generous government subsidies offered in ISM's first phase—50% of the project cost—have been reduced to 25%-40%, depending on the type of semiconductor facility. The government is looking to venture capitalists to help fill the funding gap.

* Meanwhile, the five-year MPMS will succeed a production-linked incentive scheme for smartphone assembly. That program helped Apple turn India into a major manufacturing hub and export base for iPhones.
* While MPMS will continue to support the manufacture of phones, it will also encourage local sourcing of key components to boost domestic value addition. The scheme will also provide additional incentives for design and R&D by Indian brands, aligning with the government’s long-term plan to support domestic smartphone makers.

Ban on forced labor will help India avoid Section 301 tariffs. The Commerce Ministry announced that it will ban imports of goods made with forced labor from mid-August. The measure aims to avoid the proposed 12.5% US Section 301 tariff on countries that fail to impose bans on products made using forced labor.

* The move should also help advance US-India trade talks because it addresses US concerns about the transshipment of Chinese goods. Nonetheless, India faces a second 301 investigation into industrial overcapacity, and Indian officials expect additional rounds of US tariffs.
* Negotiations on the US-India trade agreement are nearly complete, but India is now holding out for a better tariff rate. Commerce Minister Piyush Goyal has said that India cannot sign the deal until it secures a “comparative advantage over peers” in South and Southeast Asia. That demand has placed a question mark over when the deal will be finalized.

Sri Lanka

Short-term trajectory:

Long-term trajectory:

Dissanayake remains popular despite energy crisis. A poll by the Colombo-based Centre for Policy Alternatives showed that President Anura Kumara Dissanayake’s popularity is holding, particularly among Tamil and Muslim minorities and younger voters.

* The poll, conducted in May and June, found that 75.5% of Sri Lankans were satisfied with Dissanayake’s performance, although satisfaction with his ruling National People’s Power (NPP) alliance was lower at 62.8%. Notably, the president and the ruling alliance have maintained high approval ratings even though 51.4% of respondents said they are economically worse off compared to a year ago.
* The poll probably overstates Dissanayake’s approval rating, but it suggests that Sri Lankans credit him with handling the energy crisis reasonably well. He also remains largely untouched by a series of financial scandals (see: Dissanayake will survive $2.5 million treasury fraud scandal , 15 May 2026). However, persistently high energy prices would probably erode his popularity, especially given the government's limited fiscal buffers.
* Elsewhere, Sri Lanka’s IMF program remains on track. After a staff visit at the end of June, the IMF praised the country for taking prompt fiscal and monetary steps to preserve macroeconomic stability and urged it to stay the course on reforms (see: Sri Lanka will likely be able to sustain rupee support , 1 June 2026). Colombo has two tranches remaining in its four-year $3 billion extended fund facility. The

IMF will conduct the next review in the fall.

EG South Asia

southasia@eurasiagroup.net

Rahul Bhatia

Analyst, South Asia

Bhatia.ne@eurasiagroup.net

Pramit Chaudhuri

Practice Head, South Asia

chaudhuri.ne@eurasiagroup.net

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative